1. Budget

1.1. What does budget mean and its purpose

Budget: It is to plan future activities by establishing performance targets, most importantly financial ones.

Without a business planning its budget for future, it will be:

- Without a direction or goal to work towards for.
- The allocation of scarce resources of the business will be severely ineffective.
- With no plans or targets to work towards, the employees will be grimly/badly demotivated.
- Business will be unable to measure its progress by measuring the plans against actual performance.

Budgeting process:

Setting and agreeing to financial plan for each section of the business such as HR, Marketing or Finance.

Measuring performance

Managers should measure business performance by compare actual results to their targets for each department of the business, analysing its weaknesses and strengths. It's important to set financial targets such as revenue, cost and profit and non-financial ones such as customer service. Budgeting helps track financial results and find areas that need improvement.

1.2. Benefits and Drawback of Using Budgets

Advantages	Possible Disadvantages
Budgets help managers plan for the future and set realistic targets. For instance, a sales budget guides departments on production levels and spending on promotions.	Fixed budgets without room for changes can become unrealistic if unexpected events occur, leading to demotivation among employees.
Budgets helps the business by ensuring they don't overspend. They provide a clear plan for how resources and money will be divided among different department/areas.	Budgets are created usually for a short period such as 12 months. Managers might make short-term decisions that harm the long-term success of the business, like cutting talented staff members from its department to stay within budget.
Effective coordination between departments is needed to allocate resources and achieve targets. Departments must work together once budgets are set. Otherwise, the business will never meet its target.	Managers might spend extra money at the end of a budget period to avoid having a large surplus, which could make it hard to justify the same budget next year.
Targets adjusted by SMART criteria helps motivate people to work better. Budget holders or managers are more driven/incentivised when they have the responsibility of meeting budget goals.	Managers need thorough training to manage and stick to budgets effectively.
Regular assessment of business operation are necessary to monitor performance and ensure budgets are followed. Plans should be adjusted if circumstances change.	Estimating budgets for new or unique projects is challenging and often inaccurate. Therefore without flexibility, it won't succeed fulfillment of its departmental goals as much as it was targeted
At the end of the budget period, variance analysis is used to compare actual results to the budget to assess performance and departmental success.	If managers have spent less than their budget, they might spend extra before budget period ends to avoid having a large surplus, which could make it hard to fight for the same or higher budget for its area in the next year.

Essential features of effective budgeting:

- A budget is not a forecast as a forecast predicts what might happen in the future under certain conditions, whereas, Budget is a plan that businesses aim to achieve.
- Budgets can be set for any measurable part of an organisation, including sales, capital spending, labour costs, and profit. It also means most cost and profit centre have budget sets.
- It's important for departments to coordinate when setting budgets to avoid conflicting plans.
- Managers responsible for meeting budget targets should be involved in setting them. Those who are responsible for fulfilling budget should also be involved. This involvement helps create targets that are highly realistic which can motivate the team. This approach is also known as delegated budget.

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- *B*udgets help evaluate the performance of managers in charge of cost or profit centres, identifying those who meet or fail to meet targets.

1.3. Types of Budgets:

- Delegated budget: budget for which junior managers have been given some degree of authority for setting and achieving.
- Incremental budgeting: It updates last year's budget by making adjustment for the next year but doesn't consider unexpected events or review each department's needs in detail.
- Zero budgeting: It sets budget to zero each year and budget holders have to justify and argue their target level for their entire budget to receive any finance which is time-consuming. This method encourages managers to thoroughly defend their budgets and allows adjustments based on dynamic conditions.
- Flexible budgeting: it allows change from budget that can lead to higher than targeted profit. They are set assuming output will stay at predicted/budgeted levels. If actual output differs, it can cause variances from the budget, but these variances don't always mean there are efficiency issues. It can be either favorable or adverse. They are more motivating for budget-holders as they are more realistic.

1.4. Variance

A change from budget set that either leads to favorable or adverse outcome. These can be analysed.

Adverse Variance:

Change from the budget that leads to lower than targeted profit.

Favourable variance:

Change from the budget that leads to higher than targeted profit.

	Budgeted level	Actual level
Output	200 units	150 units
Direct material	$40,000	$30,000

- This shows favourable variance of $5000 for the business as cost were lower than budgeted, meaning it might cause higher profit. However. it is ignorant of the fact that output is 25% lower than targeted. Thus, despite being favourable, it does not mean anything as less material will cause less expense. Flexible budget should be used here.
- It can be used oppositely as well where higher cost however, output level is higher than expected thus justifying the expense.

Variance analysis:

It is the difference in actual figures from the budgeted figures.

It is important to calculate and analyse the reason of such differences because:

- Measure how actual performance differs from the budget for each department.
- Understanding variances helps create more realistic budgets in the future.
- Analysing variances can help in decision making, like lowering prices if sales drop due to an economic recession.
- It allows for accurate and objective assessment of each cost and profit centre. Basically, it's a performance overview.

Possible cause for variance:

Potential reason for adverse variance	Potential reason for favourable variance
Revenue is below budget due to fewer sales or lower prices caused by competition.	Revenue is higher than budget due to higher than expected economic growth or shut down of a massive competitor/rival business.
Actual raw material cost is higher than planned because of increased output or higher material costs.	Actual raw material cost is lower than planned because of decreased output or lower material costs.
Labour cost is above budget due to higher wage rate or more time needed to complete work.	Labour cost is above budget due to lower wages or quicker completion of assigned work.
Overhead cost higher than expected, possibly due to the annual rent increase which was above the forecasted figures.	Overhead cost lower than expected, possibly due to a fall in interest rate on loan or subsidized energy industry thus lower price for utility bill.

Benefit of regular variance analysis:

- Identifying potential issues early on to take corrective action, such as responding to new competition by adjusting strategies.
- It allows managers to concentrate their efforts on major issues, thus making better decision or getting better understanding of the issue.

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